SL. NO. 1

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)
PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 07-08-2023 AT 10:30 A.M.

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(CAA)/6/230/AMR/2023		230	Nithyasai Industries Limited (Transferor Company) & Nithyasai Properties Private Limited (Transferee Company)

ORDER

Mr.V.B.S.S.Prasad, Ld. PCS for the Applicant Companies Present. Orders pronounced. CA(CAA)/6/230/AMR/2023 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT MANGALAGIRI

CA (CAA)/6/230/AMR/2023

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016
AND
In the matter of Scheme of Arrangement between Nithyasai Industries Limited (NSIL) (Demerged Company) and Nithyasai Properties Private Limited (NSPPL) (Resulting Company) and their Respective Shareholders.

In the matter of

Nithyasai Industries Limited (NSIL),
Incorporated under the Companies Act, 1956,
Having its registered office at 101,
Aqua Towers 6-20-20/3, East point Colony,
Visakhapatnam, Andhra Pradesh – 530017 India.

...1st Applicant/Demerged Company

Nithyasai Properties Private Limited (NSPPL),
Incorporated under the Companies Act, 1956,
Having its registered office at Flat No. 101,
East point Colony, Waltair Ward Visakhapatnam
Vishakapatnam, Andhra Pradesh – 530017 India.

...2nd Applicant/Resulting Company

Date of Order Pronounced on: 07.08.2023

Coram:
Justice Telaprolu Rajani, Member Judicial.

For the Applicants : Mr. VBSS Prasad, PCS.

ORDER
(Per: Justice Telaprolu Rajani, Member Judicial.)

1. The present Application is filed under Sections 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant companies seeking an order to dispense with convening the meetings of the Shareholders, Secured creditors and Unsecured Creditors of both the Applicant Companies, in view of the consent given by them, for sanction of the proposed Scheme of Arrangement.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

   a) Nithyasai Industries Limited (NSIL), 1st Applicant/Demerged Company was incorporated as a private limited company on 19.05.2004 and the Authorized share capital of the Transferor or Demerged Company is Rs.2,50,00,000/- divided into 25,00,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs. 2, 48, 07,690/- dived into 24, 80,769 fully paid-up equity shares of Rs.10/- each.

b) The main objects of the 1st Applicant Company are to manufacture, trade, import, export or otherwise deal in all kinds of chemicals and bye products from coal tar, coal tar pitch, calcined petroleum coke, carbon paste, Naphthalene and all coal and coke related products and to act as technical consultants, advisors service agents in the field of chemicals, reagents, adhesives, petroleum sub products provide technical know-how, service repairs overhaul all kind of industrial process control equipment's/instruments and machines and further to carry on in India or elsewhere the business of manufacturer, processor importer, exporter, distributor, consigner, seller, buyer, reseller, transporter, stockiest, agent, sub agent, broker, supplier, indentors, concessionaire or trader or otherwise to deal in all types of carbon paste, calcined petroleum coke, coal and coke related products.

c) Nithyasai Properties Private Limited (NSPPL), 2nd Applicant/Resulting Company was incorporated as a private limited company on 31.10.2022 and the Authorized Share Capital of the 2nd Applicant Company is Rs.10,00,000/- divided into 1,00,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,00,000/- dived into 10,000 fully paid-up equity shares of Rs.10/- each.

d) The main objects of the 2nd Applicant Company are to carry on business activities relating to Real-estate business activities.

e) According to the Applicant Companies, the Composite Scheme of Arrangements is for demerger of the Open land of NSIL with NSPPL, as the main object of NSPPL is Real estate similar to the Company Business, so that it can carry on the business more effectively and efficiently. The main object of the NSIL is chemical and Pharma and the objects of the company are similar to the existing business.

f) The proposed scheme of arrangement for demerger under the provisions of section 230-232 read with section 52 & 66 of the Companies Act, 2013 ***("the scheme")*** and consequential restructure of share capital of NISL in the form of utilization of securities premium account is not prejudicial to the interest of any shareholder and creditor of the Applicant Companies and is expected to achieve the following objectives. As the Pharmaceuticals and Real estate business are 2 different activities, the management believes that demerger of the real estate business with different entity will enable it to give desired attention and help to achieve greater focus on the dealing with the specified users which will result in better and more efficient management of the housing divisions and the scheme would bring synergy of operations and lead to greater internal control on business processes and facilitate ease in decision making and the demerger of the Land Division undertaking in NSPPL will unlock the potential value of the Division and help attract new

investors, strategic partners, leaders and stakeholders and the NSIL will continue with its main objects of Pharma Division Undertaking.

g) The board of directors of both the companies have considered and proposed the Scheme of Arrangement in the nature of demerger and transfer of real-estate business of NSIL to NSPPL as the scheme will be in the larger interest of the stakeholders and other stake holders of both the companies being for value creation with a specific focus of potential business activities in future.

h) The Applicant Companies have given their declaration that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

i) The 1st Applicant/Demerged Company has filed certificate of the Auditor stating that as on 31.03.2023 there are Eight (8) Equity shareholders, together holding 24,80,769 equity shares and they have given their consent in the form of affidavits, agreeing to the proposed scheme.

j) The 1st Applicant /Demerged Company has filed certificate of the Auditor stating that as on 31.03.2023 there are One (1) Secured Creditor having a debt of Rs.1,82,48,868/- and he has given their No Objection Certificate, agreeing to the proposed Scheme.

k) The 1st Applicant /Demerged Company has filed certificate of the Auditor stating that as on 31.03.2023 there are Seven (2) Un-secured Creditors, having a debt of Rs.2,45,07,000/- and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

l) The 2nd Applicant/Resulting Company has filed certificate of the Auditor stating that as on 31.03.2023 there are Two (2) Equity shareholders, together holding 10,000 equity shares and they have given their consent in the form of affidavits agreeing to the proposed scheme.

m) The 2nd Applicant/Resulting Company has filed certificate of the Auditor stating that as on 31.03.2023 there are no Secured Creditors, Unsecured Creditors and Sundry Creditors.

n) The Board of Directors of both the Applicant Companies in their respective Board Meetings held on 26.04.2023, have approved the composite Scheme of Demerger, Appointed Date, Share Entitlement Ratio, appointment of consultants of the scheme, and authority of the Board to modify the Scheme as may be required, with unanimous consent of all the directors who have attended their respective Board Meetings and obtained the valuation report dated 09.04.2023 from an Independent Registered Valuer for securities, for determining the equity share entitlement ratio of the equity shares and accordingly it will be as under:

Equity Share Entitlement Ratio for the Demerged Open Land of NSIL for the Equity Shares to be issued by NSPPL are that 4.5 fully paid-up equity shares of NSPPL of face value of Rs.10/- each, to be issued for every 1 equity share of face value of Rs.10/- each held by the Equity Shareholders of NSIL.

o) Both the companies have provided their Auditor Certificates confirming that the accounting treatment, if any, proposed in the Scheme is in conformity with the Accounting Standards as prescribed under the Act.

4. The Registry raised certain objections, that the filing of this application is only for the purpose of transfer of land and demerged undertaking of NSIL has not been mentioned anywhere in the application and scheme and as per the objects of the NSIL in its MoA, the real-estate business is not one of the objects. With regard to the objections raised by the Registry, the PCS for the Applicant Companies filed a memo and relevant judgments and complied with the objections.

5. Heard Ld.PCS for the Applicant Companies. The Ld. PCS relied upon the Supreme Court judgment in the matter of ***Miheer H.Mafatlal vs. Mafatlal Industries Ltd., JT 1996(8)205,*** wherein the Supreme Court in the aspect of whether the court has jurisdiction to minutely scrutinise the scheme when the majority of the creditors or members or their respective classes have approved the scheme, held that "the

court cannot, therefore, undertake the exercise of scrutinising the scheme placed for its sanction with a view to finding out whether a better scheme could have been adopted by the parties. This exercise remains only for the parties and is in the realm of commercial democracy permeating the activities of the concerned creditors and members of the company who in their best commercial economic interest by majority agree to give green signal to such a compromise or arrangement". The Ld. PCS relied upon another judgement of the NCLAT in ***Company Appeal (AT) No.4/2019 between MEL Windmills Pvt Ltd vs. Mineral Enterprises Ltd & Anr.***, wherein the NCLAT observed that "it is manifestly clear that at the stage of calling of meeting of creditors/members for consideration of the scheme of compromise or arrangement the Tribunal is not required to examine the merits of the scheme qua the proposed compromise/arrangement. Any such indulgence on the part of the Tribunal would fall foul of the provision engrafted in Section 230(1) of the Act and would be without jurisdiction".

6. Hence, in view of the above facts and circumstances, and on perusal of the documents filed, it is noted that all the Shareholders, Secured Creditors & Unsecured Creditors of the 1st Applicant Company have given their consent affidavits, agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the 1st Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

7. It is noted that the Shareholders of the 2nd Applicant Company have given their consent affidavits, agreeing to the proposed Scheme of Arrangement and that there are no Secured and Unsecured in the 2nd Applicant/Resulting Company. Hence, the meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the 2nd Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

8. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send notice under section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh' (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within period of 30(thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

9. In the event of the Applicant companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who

is interested in the scheme to put forth his/their contention(s) before the Tribunal.

ORDER

The Company Application i.e., CA(CAA)/6/230/AMR/2023 is allowed and disposed of accordingly.

Sd/- Dated 07.08.2023

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu